



Book	Policy Manual
Section	BOARD POLICIES UNDER CONSIDERATION
Title	CASH BALANCE RESERVE
Code	po6215
Status	Second Reading

6215 - CASH BALANCE RESERVE

The Board of Education supports good stewardship of taxpayer dollars. In addition, the Board believes that maintaining a cash reserve unencumbered unreserved balance of ninety (90) days of operating expenditures is necessary in the interest of sound fiscal management.

Operating the District with fiscally sound management practices is integral to the ongoing well-being of the School District. Responsible management of operational costs while maintaining a high level of educational excellence within the District is the primary focus of the Board of Education, administrators, teachers and other school personnel when making budgetary decisions.

In the interest of sound fiscal management, the Board affirms that tax levies shall be pursued, and/or the District's finances otherwise managed, to ensure a General Operating Fund unencumbered unreserved cash balance equivalent to at least ninety (90) days of operating expenditures.

Promptly upon receiving any indication that such cash balance may not be achieved within any year of the five (5) year forecast, the treasurer/CFO shall report such a finding to the Board. Upon such notification by the treasurer/CFO, the Superintendent and treasurer/CFO will prepare and propose options that the Board may consider to forestall such an eventuality.

Further, the Board believes the financial goals of the District should be in alignment with the District's strategic plan and instructional goals. When a General Operating Fund cash balance exceeds 150 days the Superintendent and Treasurer/CFO may prepare a plan for the expenditure of the excess General Operating cash balance on one or more of the major directives of the strategic plan. This plan must be approved by the Board of Education and cannot result in the General Operating Fund cash balance falling below ninety (90) days in any year of the rolling five (5) year forecast.

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